

fluctuations might hurt in the short term, but what do the overall odds look like when you take account of mortality and investment risk?

**TABLE 8.4 What Is the Probability That Spending Is Sustainable?
(Age 65; Random Lifespan and Random Returns Under
a Fixed Spending Rate)**

Needs-to-Wealth Ratio					
Allocation to Equity	5.0%	6.0%	7.0%	8.0%	9.0%
0%	65.0%	52.4%	40.9%	31.1%	23.1%
20%	75.2%	63.9%	52.5%	42.0%	32.9%
40%	80.6%	70.8%	60.5%	50.5%	41.3%
60%	82.6%	74.0%	64.9%	55.8%	47.2%
80%	82.5%	74.7%	66.5%	58.4%	50.5%
100%	81.1%	73.8%	66.3%	58.9%	51.7%

Simulation assumptions: Median remaining lifetime = 18.9;
Equity: expected returns =7%, volatility = 20%; Cash: return =1.3%
Source: Moshe Milevsky and the IFID Centre, 2008.

**TABLE 8.5 What Is the Probability That Spending Is Sustainable?
(Age 55; Random Lifespan and Random Returns Under
a Fixed Spending Rate)**

Needs-to-Wealth Ratio					
Allocation to Equity	5.0%	6.0%	7.0%	8.0%	9.0%
0%	43.6%	29.6%	19.1%	11.9%	7.2%
20%	59.7%	44.8%	32.0%	22.0%	14.6%
40%	69.3%	56.0%	43.4%	32.5%	23.6%
60%	73.5%	62.0%	50.8%	40.5%	31.5%
80%	74.4%	64.4%	54.5%	45.2%	36.9%
100%	73.3%	64.3%	55.5%	47.3%	39.8%

Simulation assumptions: Median remaining lifetime = 28 years;
Equity: expected returns =7%, volatility = 20%; Cash: return =1.3%
Source: Moshe Milevsky and the IFID Centre, 2008.